

Date:

Economics

How Adam Smith defined economic? Explain.

Adam Smith called the father of economics. In his book "Wealth of nation" he defined economics as:

"Economics is the study of the nature and causes of the wealth of nations."

He defined economics as the science (study) of wealth.

Key features:

Adam explained his define in four features:

- 1) Production of wealth
- 2) Consumption of wealth
- 3) Distribution of wealth
- 4) Exchange of wealth.

Date:

♥ Production of wealth

Wealth is created when goods and services are produced efficiently. There are four factors used in production of wealth:

♥ Land:

Land refers to all natural resources used in production. It is the basic factor in production process. It rewards rent.

♥ Labour:

Labour refers to human efforts used in production. Labour gets salary.

♥ Capital:

Capital refers to man-made tools, machines instruments and equipment used in production. It got on interest.

KING

Date:

• Organization:

It refers to the entrepreneurship who manage or brings together land, labour and capital to produce goods.

It holds profit.

• Consumption of wealth

It refers to the use of wealth to fulfill our basic needs. Adam Smith saw consumption as the ultimate goal of production.

"Consumption is the sole and purpose of all production."

- Productive consumption
- Unproductive consumption.

• Distribution of wealth

Distribution of wealth refers to how the total wealth or income of a

KING

Date:

society is divided among its members.

Adm defined as:

∴ functional distribution

Wages → laborers

Rent → landowners

Profit → organization

Interest → capitalists

∴ personal → house holdy.

Exchange of wealth:

It refers to how wealth is shifted from one hand to another hand. Wealth can't be stored in one hand. It circulates.

"exchange is essential to economic growth".

It also called velocity of wealth.

∴ Barter System

∴ Monetary System.

Date:

Criticism of Adair's definition

1) Too materialistic:

focus only on wealth, ignoring human well-being happiness or welfare.

2) Decrease scarcity: ignores social aspects.

3) No clear definition of welfare. Fails to include modern economic problems.

4) No defined production means. Illegal business can be used.



Date: .

Economics and noneconomic activities needs.

Economic activities

- ❖ Economic activities are such type of activities which requires money.

- ❖ e.g. buying and selling

- ❖ These activities give return.

Non-economic activities

Non-economic activities are such type of activities which don't require money.

free of cost

These activities don't give any return.

Economic needs or wants

- ❖ These needs requires money to be fulfilled.

- ❖ To get food, cloth education etc.

Non economics needs/wants

These needs don't require money to be fulfilled.

Oxygen, water
air, parent's love.

KING

Date:

Characteristics of economic needs.

They need efforts and money.

• 1) Develop again and again

These needs develop again after fulfilling one time such as eating pizza.

• 2) Different ways to fulfill.

• 3) Competition.

Some needs are more important and some less.

4) Unlimited in number
Human ^{economic} needs are endless. When one is satisfied, another arises.

5) Limited resources required.
resources like money are required.

6) Vary from person to person.

7) Change over time.

Date:

Economics by Robin ^{new classical economists b.}

How Robin defined economics?
Explain different aspects of his definition.

Lionel Robbins, a British economist defined economics as:

Economics is the science which studies human behaviour as a relationship between ends ^{wants} and scarce ^{resources} means which have alternative uses.

OR

Economics is the study of using limited resources to fulfill unlimited wants.

as a social science

Economics is a social science because it relates to society and its definition changes with

the passage of time.

Date:

Wants:

Human's wants are unlimited. There is a competition in wants. Some are more necessary and some less.

Resources

People has limited resources, Maximum people has same resources.

Managing resources:

These limited resources are used to fulfill the unlimited wants. That's called management.

→ People who efficiently utilizes resources success.

human behaviour

Robbins started that economics is a science of human behaviour.

KING

Date:

It studies how individuals and society make choices to satisfy their needs.

Economics is not just about money or wealth.

It's about decisions people make.

Positive aspects:

1. universally applicable.

Everybody in the world faces limited resources and unlimited wants. This defines circles all around the world.

2 - Makes economics as science:

Robbin gave scientific definition so 'economy' is classified in social sciences.

It is based on analysis and observations.

3 - Scarcity

KING He defined that economy is not just

Date:

about money. It also
about scarcity.

Negative aspects

1- Too abstract:

It is theoretical
and doesn't focus on
real-world economic problem
like poverty, unemployment.

2- Limited practical use:

Since it focus on
theory, it has limited
practical application in
policy making.

Simply this definition
focus on scarcity,
choice, resources.

Date: _____

Consumer behaviour

Consumer behaviour refers to the study of how individuals or groups make decisions to purchase, use of goods and services. It depends upon utility.

Utility

The ability of a commodity to satisfy human want is called utility.

Types:

Different types of utility are:

- Initial utility
- negative utility
- positive utility
- Marginal utility.
- zero utility

Utility and consuming.

When the utility of a commodity increase, consumer increases consuming on it.

Date:

Initial utility

The utility which is gained by consuming first unit of a commodity is called initial utility.
∴ thirsty drink water etc

Zero utility

Zero utility occurs when the commodity provides no satisfaction or benefit to a customer.
∴ (neither gain nor loss)

∴ a vegetarian offered meat

Positive utility

When consuming a commodity gives satisfaction or benefit, it is called positive utility.

∴ eating food when you're hungry.

Date:

Negative utility

When consuming a commodity reduces satisfaction or even causes discomfort, it is called negative utility.

e.g. eating too much food can cause stomach pain.

Marginal utility

The additional satisfaction from consuming one more unit of a commodity is called marginal utility.

utility can't be measured. It's for only understanding.

example

glass of utility	utility.
1	15
2	10
3	5
4	0
5	-5

→ initial utility

} positive utility

→ zero utility

→ negative utility.

utility decrease when quantity increase

Date:

Law of diminishing marginal utility

Explain law of diminishing marginal utility? Explain its table and graph.
Also write its assumptions, and limitations.

This law states:

"If all other things remain constant, when people use more and more of a commodity, the marginal utility of that commodity will keep decreasing."

∴ Law given by Hermann Heinrich Gossen

Popularized by Alfred Marshall.

Date:

Explanation with example

The first unit gives the most satisfaction and each additional unit gives less and less satisfaction.

When we eat pizza, the first unit gives satisfaction.

Then as we keep eating, satisfaction decreases and at a point becomes zero. After that, eating more pizza slices will dis satisfy and can cause stomach pain!

Table

Slice Number	Marginal Utility
1 st slice	10 units
2 nd slice	8 units
3 rd slice	6 units
4 th slice	4 units
5 th slice	2 units
6 th slice	0 units
7 th slice	-2 units

∴ unit is imaginary for m.u measurement.

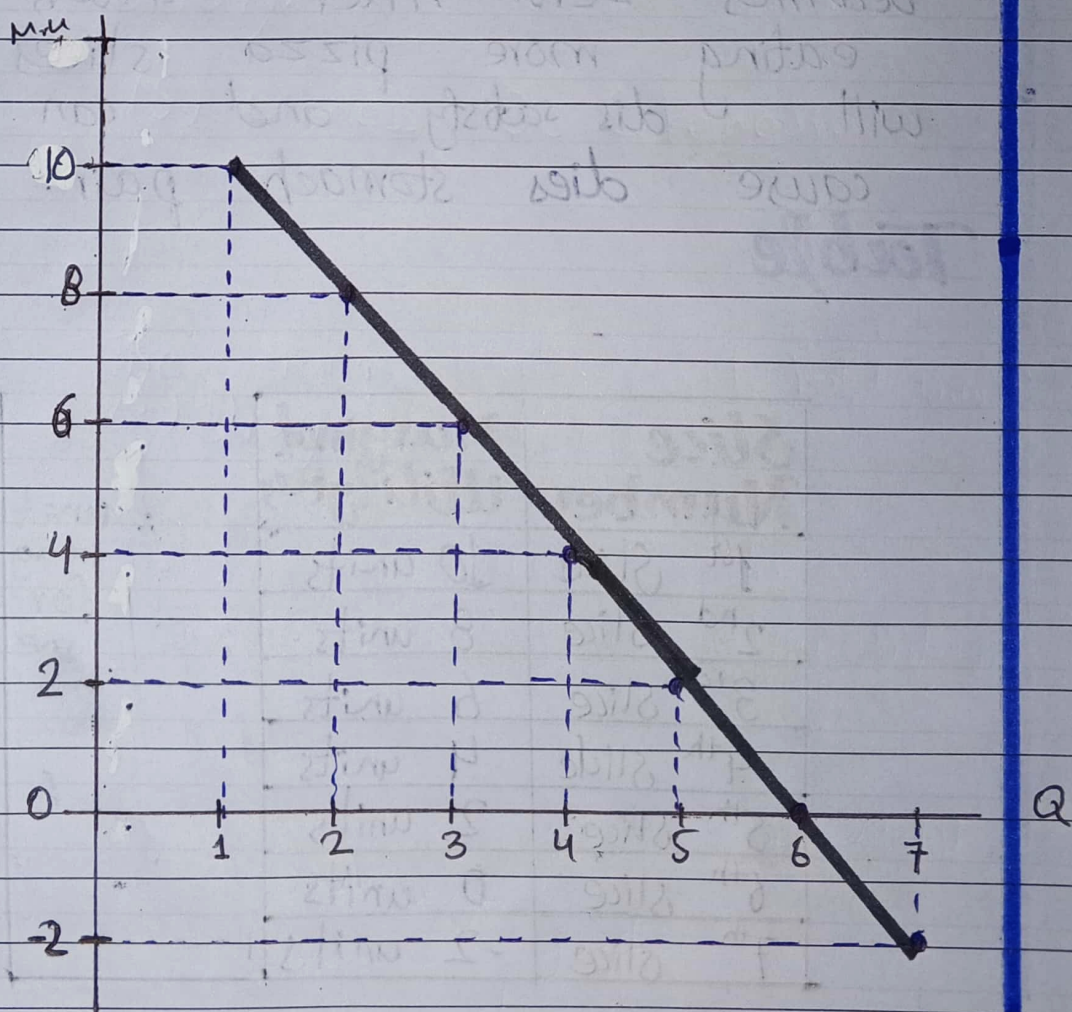
Date:

MU decreases with each slice.

At 6th slice, its zero-
this is maximum
satisfaction.

At 7th slice, it is
negative that means
the customer is
now over-satisfied.

Graph:



∴ graph of M.U.

KING

Date:

The x-axis contains quantity of pizza slices and y-axis marginal utility.

The curve shows the diminishing MU.

It shows that MU is decreasing while quantity increased.

There is a negative relation between quantity and MU.

Assumptions:

The things that remain constant in diminishing marginal utility law are called it's assumptions.

(1) Income

There should be no change in consumer's income.

(2) Weather

Weather change will not hold the law.

Date:

(3) Taste

If there is no change in consumer's taste, the law will be applicable.

(4) Future prediction

A good prediction of a commodity can increase its utility.

(5) Likeness / Dis likeness.

Limitations:

The things that don't hold law:

(•) Drugs (addictions)

This law is not applicable to addictive goods (alcohol, drugs).

(•) Wealth

law can't be applied on wealth.

(•) Knowledge

(•) Historical goods.

(•) Social differences.

KING

Date:

Law of equimarginal utility.

This law states that a customer will continue to consume a good untill the marginal utility gained from consuming one more unit is equal to the marginal utility gained from consuming one more unit of any other item.

Example:

A customer has Rs 1000 and can buy apples (favourite) and bananas.

This customer keep allocating money untill the utility per unit of both equals.

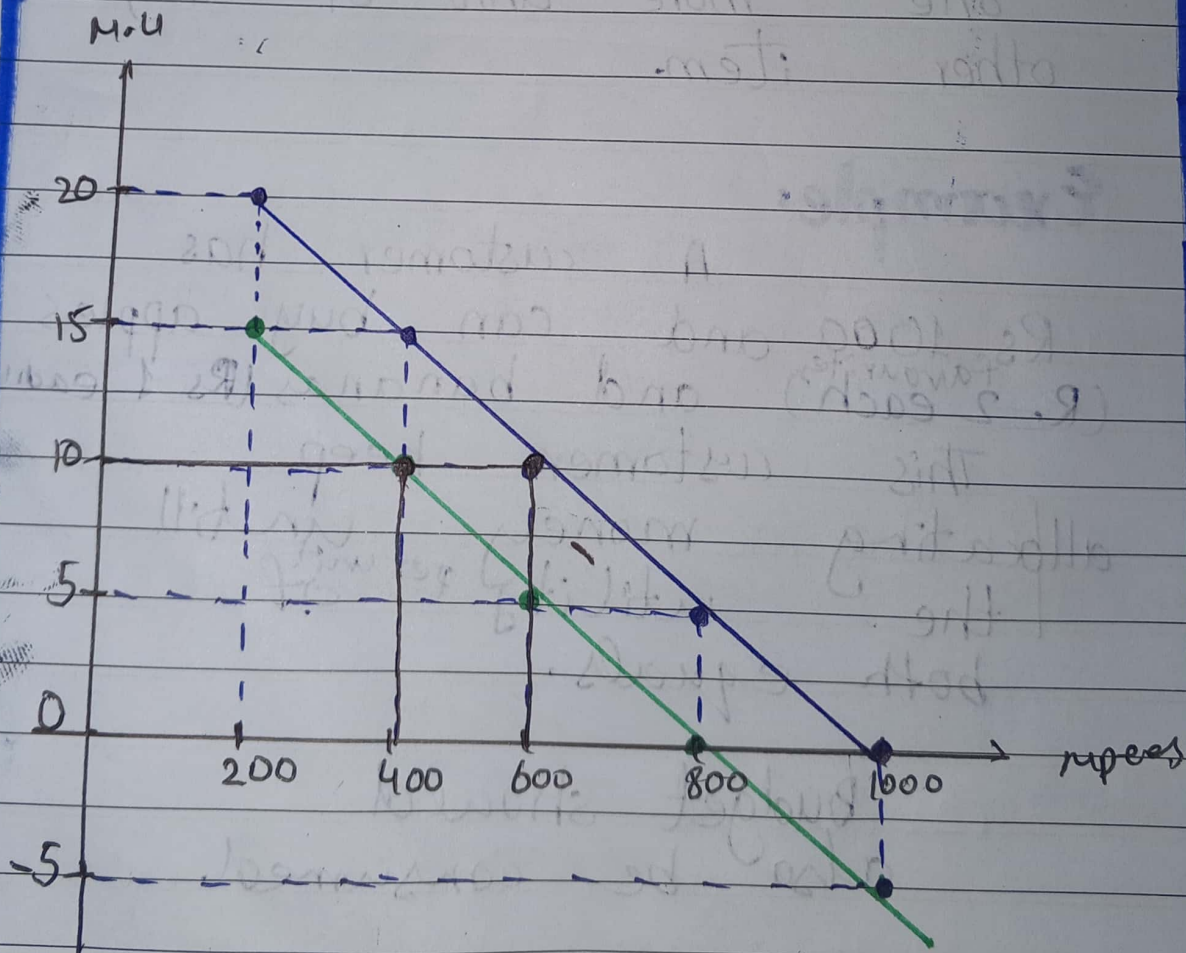
Budget should also be consumed.

Date:

table

Repees 10.	M U of apples	M U of banane
200	20	15
400	15	10
600	10	5
800	5	0
1000	0	-5

graph



KING